Case No. 19-8005

United States Bankruptcy Appellate Panel of the Sixth Circuit

Dinsmore & Shohl LLP
Bingham Greenebaum Doll LLP
Fox Rothschild LLP
and Phoenix Management Services, LLC
Appellants,

v.

United Cumberland Bank
Appellee.

On Appeal from the United States Bankruptcy Court for the Western District of Kentucky. Originating Case No. 16-10407, Chapter 11, Hon. Joan A. Lloyd.

APPELLANTS' REPLY BRIEF

James R. Irving
Kyle W. Miller
BINGHAM GREENEBAUM DOLL LLP
3500 PNC Tower, 101 South Fifth Street
Louisville, Kentucky 40202
kmiller@bgdlegal.com

Ellen Arvin Kennedy
DINSMORE & SHOHL LLP
250 W. Main Street, Suite 1400
Lexington, Kentucky 40507
ellen.kennedy@dinsmore.com

(502) 587-3606

September 12, 2019

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Introduction

In this Chapter 11 case, three law firms and a financial advising firm (the "Professionals") obtained, as is customary, a Carve-Out for their fees. In its Appellee's Brief, United Cumberland Bank ("UCB") does not dispute the validity of that Carve-Out, nor could it. Rather, UCB's sole contention on appeal is that it is not obligated to honor the Carve-Out, an assertion contrary to the effective working of the entire bankruptcy reorganization process. To be clear, the Professionals are only seeking the sums UCB collected on liens that are subject and subordinate to the Professionals' Carve-Out. While UCB is not required to pay the Professionals' fees out of its own operating budget, it may not retain sums that were explicitly set aside for the Professionals' benefit. Accordingly, the Professionals request that the Bankruptcy Court's Order be reversed.

Argument

I. If Affirmed, the Bankruptcy Court's Opinion Would Hamper Future Bankruptcy Reorganizations.

Carve-out provisions are necessary to foster the reorganization process. See e.g. *In re Evanston Beauty Supply, Inc.*, 136 B.R. 171, 177 (Bankr. N.D. Ill. 1992). "Absent such protection, the collective rights and expectations of all parties-in-interest are sorely prejudiced." *In re Ames Dep't Stores*, 115 B.R. 34, 38 (Bankr.

S.D.N.Y. 1990). “It is a tautology that without competent and experienced advisors, debtors-in-possession would have little likelihood of success in their reorganization efforts.” *In re Fibermark, Inc.*, 349 B.R. 385, 396 (Bankr. D. Vt. 2006).

Ignoring the Carve-Out the Professionals had already obtained, the Bankruptcy Court opined that the Professionals should bring an adversary proceeding against UCB if it is collecting on pre-confirmation assets. But, an adversary proceeding “is not necessary where the relief sought is the enforcement of an order previously obtained.” *Solow v. Kalikow (In re Kalikow)*, 602 F.3d 82, 93 (2d Cir. 2010) (quoting *In re WorldCorp, Inc.*, 252 B.R. 890, 895 (Bankr. D. Del. 2000)). Here, the Professionals merely seek enforcement of the Carve-Out already ordered by the Court.

Moreover, UCB is collecting on pre-confirmation assets, and has sworn to that very fact. UCB admitted that it has collected on Chieftain’s pre-confirmation assets. In support of UCB’s Response to the Professionals’ Motion to Compel, UCB’s Chief Credit Officer provided an affidavit stating that “[a]s a result of the liquidation of the cash collateral, United Cumberland Bank has recovered $141,977.37.” UCB separates the cash collateral from post-confirmation collateral,

and UCB admits that it collected $141,977.37 from the cash collateral, a clear violation of the Cash Collateral Orders in this action. The Court even suggested this would be a violation in its Order, and invited the Professionals to file an adversary action. As an adversary action is not necessary, the Opinion and Order should be reversed and UCB should be required to remit the sums it collected up to the value of the Carve-Out.

II. The Cash Collateral Orders Subordinate UCB's Liens to the Professionals' Fees.

UCB contends that it is not obligated to honor the Carve-Out recognized in every Cash Collateral Order, the Plan of Confirmation, and in the Professionals' approved Fee Applications. UCB's defense of this erroneous belief stems from the Carve-Out's requirement that "The Debtor shall pay the Carve-Out as funds permit without causing an overdraft." UCB ignores the Carve-Out's clear requirement regarding UCB's rights vis-à-vis the Professionals: "Payment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out."

UCB insists that the Debtor's failure to pay the Carve-Out would somehow destroy the Carve-Out itself. Under UCB's reasoning, the Professionals would

become unsecured creditors for no other reason than the Debtor's refusal to pay its bills. That cannot be the rule. There is no language in the Cash Collateral Orders or Plan to support the notion that the Debtor's failure to pay the Carve-Out negates the subordination of UCB's liens. Therefore, any amount UCB has collected on its liens must be provided to the Professionals up to the Carve-Out amount.

III. The Plan of Reorganization Affirms the Professionals' Rights to the Carve-Out.

A. The Plan Retains The Carve-Out.

When a plan of reorganization is "approved by the court, it becomes final, is binding upon the debtor, the security holders, and all other interested parties, and must be enforced as written." *Denver & R.G. W. R. Co. v. Goldman, Sachs & Co.*, 212 F.2d 627, 630 (10th Cir. 1954). The confirmed plan "becomes a binding contract between debtor and its creditors and is to be interpreted in accordance with general contract law." *Id.* "Every word in the agreement must be taken to have been used for a purpose." *Siler v. White Star Coal Co.*, 190 Ky. 7, 12, 226 S.W. 102, 104 (1920).

B. The Professionals Did Not Release UCB From Its Obligations Under The Carve-Out.

The Carve-Out agreed to in the Cash Collateral Orders is not released under the terms of the Plan. The Plan provides that the Debtors, the reorganized Debtor, the

Committee, and the Liquidating Trust released any claims they might have against UCB. However, the Professionals never released or waived their rights to the Carve-Out. This was not accidental. The Professionals were a defined term under the Plan, and the Professionals negotiated for a release and indemnification under the Plan. The terms of the UCB release were carefully considered and negotiated, and therefore, the Professionals' omission from the parties releasing UCB should be respected and considered as intentional. See *Palmer v. Commonwealth*, 3 S.W.3d 763, 764 (Ky. App. 1999) (citing *Louisville Water Co. v. Wells*, 664 S.W.2d 525 (Ky. App. 1984)) ("As a general rule of statutory construction, expressio unius est exclusio alterius provides that an enumeration of a particular thing demonstrates that the omission of another thing is an intentional exclusion.").

Conclusion

The Bankruptcy Court's Opinion and Order should be reversed.

Respectfully submitted,

s/ Kyle W. Miller
BINGHAM GREENEBAUM DOLL LLP
kmiller@bgdlegal.com

September 12, 2019

Certificate of Compliance

This reply brief of appellant complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(B) because it contains 970 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g). It complies with the typeface requirement of Fed. R. Bankr. P. 8015(a)(5) and the type-style requirement of Fed. R. Bankr. P. 8015(a)(6) because it was prepared in a proportionally spaced typeface, Liberation Serif at 14-point, with case names in italics.

Respectfully submitted,

s/ Kyle W. Miller
BINGHAM GREENEBAUM DOLL LLP
kmiller@bgdlegal.com

September 12, 2019

Certificate of Service

I certify that on September 12, 2019 I filed this reply brief of appellant with the Clerk of the Bankruptcy Appellate Panel of the Sixth Circuit through the court's electronic filing system, which will send notice of the filing to all counsel of record.

Respectfully submitted,

s/ Kyle W. Miller
BINGHAM GREENEBAUM DOLL LLP
kmiller@bgdlegal.com

September 12, 2019